Business Management SL and HL · Set B · Paper 1

Worked mark scheme · 90 minutes · 30 marks

Award equivalent valid methods and conclusions. Apply the indicated mark allocation to each part. Credit consistent follow-through where the subsequent reasoning remains valid.

Section A · Publishing and distribution [20]

(a) **[2]**

Define the term revenue.

1 mark · Income generated by the sale of goods or services.

1 mark · It is measured before deducting costs, for example total licence fees earned.

(b) **[3]**

Calculate the percentage change in average annual licence revenue per subscribing library.

1 mark · Average fees are 192,000/80 = CU 2,400 and 216,000/96 = CU 2,250.

1 mark · Calculate (2,250 − 2,400)/2,400 × 100.

1 mark · A decrease of 6.25%.

(c) **[3]**

Explain one possible conflict between Sundial's objectives.

1 mark · Serving small-language audiences supports access.

1 mark · Production costs are incurred before the licence sales are known.

1 mark · Low demand could leave less profit to finance accessible editions.

(d) **[4]**

Explain one advantage and one disadvantage to Sundial of the outsourcing arrangement with narrators.

1 mark · Freelancers give access to language-specific voices as titles require them.

1 mark · Sundial can acquire the skill without year-round salaries.

1 mark · Freelancers control their schedules or voice-use permissions.

1 mark · Releases or promotional extracts may be delayed while consent or availability is secured.

(e) **[4]**

Explain two limitations of using the eight volunteers to predict renewal by all libraries.

1 mark · The sample excludes rural libraries.

1 mark · Urban demand and queues may differ from rural use.

1 mark · Volunteers selected themselves after an email invitation.

1 mark · Those already interested in simultaneous access may express greater willingness to renew than other libraries.

(f) **[4]**

Explain two ways weekly usage information could improve a library's purchasing decisions.

1 mark · Queue data can identify titles where one-user licences limit access.

1 mark · Paying for extra simultaneous users could help more members at those sites.

1 mark · Low-use titles can also be identified.

1 mark · Shifting a limited budget to better-used titles can raise the value of a renewal.

Section B · Option 1 [10]

(a) **[10]**

Evaluate whether Sundial should accept Luma's proposed agreement.

10 marks · Two years of CU 90,000 payments could fund new accessible editions and reduce revenue uncertainty. Exposure may draw listeners to lesser-known titles, but Luma controls pricing, selects the twelve strongest titles and shares little information. Clarify royalties and estimate the effect of lost renewals before treating the entire fee as incremental profit. Retaining library rights helps protect the core market. Negotiate reporting rights, a royalty definition and a trial or reject the current offer if the downside exceeds the fee. Use best fit. Award 0 for no creditable response, 1–2 for limited assertions, 3–4 for a partially explained point with weak application, 5–6 for developed analysis using case evidence, 7–8 for supported consideration of competing arguments and a reasoned decision, and 9–10 for sustained evaluation integrating specific evidence, a material limitation and a convincing judgement. Credit a well-supported alternative.

Section B · Option 2 [10]

(a) **[10]**

Discuss whether Sundial should give priority to the library pilot over producing the six forthcoming titles.

10 marks · Waiting lists and the fall in renewal from 90% to 82% suggest a retention problem. Multiple access and weekly queue information address an identified need. Volunteers are unrepresentative and renewal intentions may not become sales. Delaying six titles could disappoint smaller-language audiences. Extend the pilot to matched rural and urban libraries, track actual renewals and limit staff time. A staggered release is defensible where authors or libraries already expect the titles. Use best fit. Award 0 for no creditable response, 1–2 for limited assertions, 3–4 for a partially explained point with weak application, 5–6 for developed analysis using case evidence, 7–8 for supported consideration of competing arguments and a reasoned decision, and 9–10 for sustained evaluation integrating specific evidence, a material limitation and a convincing judgement. Credit a well-supported alternative.

End of mark scheme · 30 marks